Module 8: Reactions to Liberalism — Historical Materialism, Socialism, Communism (1848–1938)

Political & Economic Thought — Master Notes · by Jakob V. Stangel

Readings: Backhouse, *The Penguin History of Economics* (2023), **pp. 169–177** *(Marx as political economist)* · **Selections from Marx & Engels** (ed. Ougaard): *The German Ideology* (1845–46) · *The Communist Manifesto* (1848) · "The Future Results of British Rule in India" (1853) · "Preface" to *A Contribution to the Critique of Political Economy* (1859) · Marx's letter to **Vera Zasulich** (1881). *(Lecturer: Benjamin Ask Popp-Madsen — deck "Reactions to liberalism: Historical materialism, socialism, communism.")*

Theme of the module. The modern revolutions promised **freedom and equality** — but industrial capitalism produced the "**social question**": slums, child labour, a worn-down working class, **capital and labour in direct confrontation. Marx's answer** is the sharpest reaction to liberalism: the rights-of-man "freedoms" are merely **formal** — political freedom is worthless without **economic** freedom. To explain why, Marx builds a whole **theory of history (historical materialism)**: society rests on an **economic base** (how people produce) that shapes everything else (the **superstructure** — law, politics, religion, ideas); history moves through **modes of production** (ancient → feudal → capitalist), each driven forward by **class struggle**. Capitalism is the most **revolutionary** and most **productive** system ever — and, by creating and impoverishing the **proletariat**, it forges "its own gravediggers." The endpoint is **communist revolution**: common ownership of the means of production and the eventual **withering away of the state.**

> ★ **The heart of the module — Marx turns liberalism's story upside-down.**
> • **Method — historical materialism:** don't explain society from its *ideas* (Hegel's idealism); explain the ideas from the **material conditions of production.** "**Life is not determined by consciousness, but consciousness by life.**" Turn Hegel **on his head.**
> • **Model — base & superstructure:** the **economic base** (forces + relations of production) is society's foundation; **law, the state, religion and ideology are a derived superstructure.** Change the base → the superstructure is transformed.
> • **Motor — class struggle:** "**The history of all hitherto existing society is the history of class struggles.**" Each mode of production breeds its own antagonism (master/slave, lord/serf, **bourgeois/proletarian**).
> • **Diagnosis of capitalism:** wage-labour + private ownership of the means of production ⇒ **exploitation** (the capitalist pockets the **surplus value**) and **alienation** (the worker is cut off from the product, from the act of work, and from human "species-being").
> • **Prognosis:** capitalism's crises and its creation of a vast, class-conscious proletariat drive it to **communist revolution** — common ownership and, ultimately, the end of class and of politics itself.

Red thread: *(1) Why are liberal "freedoms" not enough? (2) What really drives history — ideas, or the economy? (3) How does capitalism work, and why does Marx think it is doomed? (4) What comes after?*

Key concepts to apply: *the social question · formal vs real (economic) freedom · historical materialism · "turning Hegel on his head" (materialism vs idealism) · the **base–superstructure** model · forces of production vs relations of production · mode of production · stage theory (Asiatic · ancient/slave · feudal · capitalist) · fetters & the law of social revolution · class struggle · bourgeoisie & proletariat · class in-itself vs class for-itself · class consciousness · the "double liberation" of the worker · the **labour theory of value** · **surplus value** · exploitation · alienation (from product · from labour · from species-being) · revolutionary capitalism · crises of over-production · "the bourgeoisie produces its own gravediggers" · common ownership of the means of production · dictatorship of the proletariat · the withering away of the state · (application) colonialism as destruction + regeneration.*

The social question & "formal vs real" freedom

Core: industrial capitalism created misery on a new scale — and that "**social question**" is the problem every 19th-century ideology (socialists, liberals, conservatives, social Catholics) raced to answer. Marx's distinctive move: the liberal answer gives only **formal** freedom.

The social question

Rapid industrialisation + **uncontrolled migration to the cities** produced a cluster of social ills:

- **slums and tenement houses**; a lack of **housing, sanitation and public health**;
- **women and children in the factories**; a **worn-down workforce**, poor schooling, poverty, disease;
- the **breakdown of traditional safety nets** (guilds, almshouses, charities). → The result: **capital and labour in direct confrontation** — the raw material of Marx's theory.

Formal vs real freedom

The great rights declarations proclaimed equality:

- **US Declaration of Independence (1776):** "all men are created equal."
- **French Declaration of the Rights of Man (1789):** "born and remain free and equal in rights."

Marx's reply: these are only **formal freedoms.** A worker is "free" to sign a contract and "equal" before the law — but if he owns nothing and must sell his labour to eat, the freedom is hollow. **Political freedom is useless without economic freedom.** *(This is the hinge between liberalism and Marx: liberalism secures the form of freedom; Marx demands its material substance.)*

Karl Marx — the man and his influences

Core: Marx (1818–1883) fused **three national intellectual traditions** into one system; knowing them tells you what historical materialism is *made of*.

- **Life (quick sketch):** born **Trier, 1818**; studied **philosophy & law** (Bonn, Berlin); edited the radical *Rheinische Zeitung* (1842); **Paris** (1843–45, meets lifelong collaborator & funder **Friedrich Engels** in 1844); **Brussels** (1845–48); **London** (1849–83, where he writes *Capital* in the British Museum and

dies). Key works: *The German Ideology* (1845–46), *The Communist Manifesto* (1848, with Engels), *A Contribution to the Critique of Political Economy* (1859), *Capital* vol. 1 (1867).

- **The three influences (the deck's triangle):**

Tradition	Figures	What Marx took
English political economy	Smith · Ricardo · Malthus	the **labour theory of value**, class analysis, the economy as the key to society
German idealist philosophy	Kant · **Hegel**	the **dialectic** and history as *stages* — but **inverted** (material, not ideal)
French utopian socialism	Saint-Simon · Fourier · Owen	the **goal** (a cooperative, post-capitalist society) — but made "**scientific**," not utopian

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★ Historical materialism (the method)

Core: Marx's theory of history. Against Hegel's **idealism** (ideas/"Spirit" drive history), Marx says the **material process of production** drives history, and ideas merely reflect it — he "**turns Hegel on his head.**"

"We ascend from earth to heaven" (The German Ideology)

Marx & Engels lay out the premise in *The German Ideology*: start not from what people *think* but from **real individuals and their material activity.**

- "*Men... begin to distinguish themselves from animals as soon as they begin to* ***produce their means of subsistence***." The **first historical act** is producing material life itself.
- Therefore: "***Life is not determined by consciousness, but consciousness by life.***" German philosophy "descends from heaven to earth" (starts from ideas); Marx's method "**ascends from earth to heaven**" (starts from material life and *derives* the ideas).
- Ideas, morality, religion are a **camera obscura** — an upside-down image produced by the real life-process; they "have no history" of their own.

The classic statement — the 1859 Preface

The most compressed version is the "**Preface**" **to *A Contribution to the Critique of Political Economy* (1859)** — learn this passage:

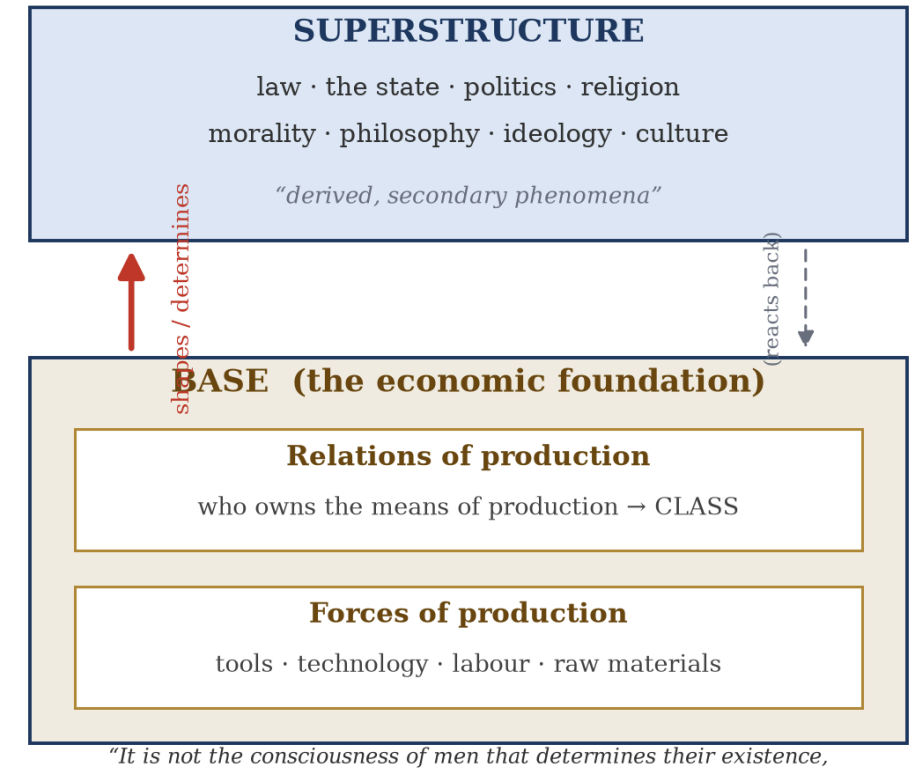
> "In the social production of their existence, men inevitably enter into definite **relations of production** appropriate to a given stage in the development of their material **forces of production.** The totality of these relations constitutes the **economic structure of society**, the real foundation, on which arises a legal and political **superstructure**... It is **not the consciousness of men that determines their existence, but their social existence that determines their consciousness.**"

Stage theory & the law of revolution

- History moves through **modes of production**: **Asiatic · ancient (slavery) · feudal · modern bourgeois (capitalist)** — "epochs marking progress."
- The motor of change: at some point the **forces of production** (technology) outgrow the existing **relations of production** (property/ownership), which "turn into their **fetters**." Then "begins an era of **social revolution**."
- Two famous brakes on revolution (from the Preface): "***No social order is ever destroyed before all the productive forces for which it is sufficient have been developed***"; and mankind "*sets itself only such tasks as it is able to solve.*" → revolution is **not** voluntarist; it waits on material maturity. *(This is the tension the Zasulich letter later strains against.)*

★ Base & superstructure

Core: the picture behind historical materialism — society is a **two-storey building.** The **base** (how we produce) is the ground floor that holds up and shapes the **superstructure** (law, politics, religion, ideas).



"It is not the consciousness of men that determines their existence, but their social existence that determines their consciousness." — Marx, 1859 Preface

How to read it.

- **The base = the economy**, in two parts: **forces of production** (tools, technology, labour, raw materials — *how* we can produce) and **relations of production** (who **owns** the means of production — which defines **class**).

- **The superstructure = everything else** — law, the state, politics, religion, morality, philosophy, culture. For Marx these are "**derived, secondary phenomena.**"
- **The arrow runs mostly upward:** the base **shapes/determines** the superstructure (the ruling ideas of an age are the ideas of its ruling class). The faint downward arrow is the later, softer reading (the superstructure can *react back*) — but orthodox Marx stresses the **upward determination.**
- **Use it as a tool:** to explain *any* law, religion or ideology, ask "**whose economic interest does it serve, and which mode of production produced it?**"

Class struggle, the "double liberation" & alienation

Core: the base generates society's defining **antagonism — class struggle** — and under capitalism it takes a specific, brutal form: the worker is "freed" twice over, and **alienated.**

- **Class struggle is the motor:** "*The history of all hitherto existing society is the history of class struggles*" — oppressor vs oppressed (freeman/slave, lord/serf, now **bourgeois/proletarian**), ending each time in revolution or mutual ruin.
- **The "double liberation" of the worker** — capitalism's cruel pun on "freedom":
  1. the worker is **free** to sell his labour (not a slave or serf — *free* wage-labour); **but**
  2. he is "**freed**" **from** (i.e. deprived of) any **ownership of the means of production** — so he *must* sell his labour to survive.
- **Alienation** — capitalism separates the worker from what makes him human:
  - from the **product** (the commodity he makes belongs to the capitalist, and confronts him as an alien thing);
  - from the **act of labour** (work becomes a mere means to wages, not self-expression);
  - from his "**species-being**" — for Marx, **labour is the defining creative activity of humanity**; wage-labour reduces that activity to a commodity, so "**the worker becomes a commodity**" too.

★ Capital: exploitation & surplus value

Core: *Capital* explains **economic inequality** as **invisible exploitation** built into the wage relation itself — using the classical **labour theory of value.**

- **Labour theory of value** (inherited from Smith/Ricardo): the value of a commodity comes from the **labour** embodied in it.
- **The twist — surplus value:** the worker is paid the value of his **labour-power** (enough to live and show up), but he **produces more value than that** during the working day. The **difference is surplus value**, which the **capitalist appropriates** as profit.
- **Exploitation is invisible:** because the worker is paid a "fair" wage for his time, the unpaid portion is **hidden** — unlike the open coercion of slavery or serfdom, capitalist exploitation *looks like* a free, equal exchange. That concealment is the point.

- **The consequence:** competition drives capitalists to extract ever more surplus → **impoverishment of the working class** → the growth of **class consciousness** and a **revolutionary mindset.**

★ The Communist Manifesto: revolutionary capitalism

Core: the *Manifesto* (1848) is **not** a simple denunciation — Marx is **awe-struck** by capitalism. The bourgeoisie is the most **revolutionary and productive** class in history; that very dynamism is what dooms it.

- **The bourgeoisie's revolutionary role:** it "has played a most revolutionary part" — tearing up feudal, patriarchal ties, leaving "no other nexus between man and man than naked **self-interest**, than callous **cash payment**," resolving all values into **exchange value** and "that single, unconscionable freedom — **Free Trade.**"
- "**All that is solid melts into air":** "*Constant revolutionising of production, uninterrupted disturbance of all social conditions, everlasting uncertainty... distinguish the bourgeois epoch... All that is solid melts into air, all that is holy is profaned.*" Capitalism **cannot stand still** — it must perpetually revolutionise the means of production.
- **The world market:** chasing markets, the bourgeoisie "must nestle everywhere, settle everywhere" — giving production a **cosmopolitan** character, battering down "all Chinese walls" with cheap commodities, and creating "**a world after its own image.**" *(This is Marx's theory of **globalisation**, in 1848.)*
- **Crises of over-production:** capitalism is like "**the sorcerer** who is no longer able to control the powers of the nether world whom he has called up." It periodically produces **too much** — an "**epidemic of over-production**" — and survives only by destroying productive forces and conquering new markets, "paving the way for more extensive and more destructive crises."
- **Its own gravediggers:** "**But not only has the bourgeoisie forged the weapons that bring death to itself; it has also called into existence the men who are to wield those weapons — the modern working class — the proletarians.**" Concentrating workers in factories **unites** them → a **class in-itself** (merely sharing a condition) becomes a **class for-itself** (conscious, organised) → **class consciousness.**

Communist revolution & communist society

Core: communism is a **new revolution in property relations** — and its endpoint is the dissolution of class, and of **politics itself.**

- **A property revolution "just like" the bourgeois one:** the bourgeoisie already abolished feudal/customary property (enclosures, "no customary rights"); communism simply does to **bourgeois private property** what the bourgeoisie did to feudal property. Marx's retort to the horrified: "*private property is already abolished for nine-tenths of society*" — they own nothing; communism only generalises the fact.

- **Common ownership:** "centralise all instruments of production in the hands of the state, i.e., of **the proletariat organised as the ruling class**" — common ownership of the **means of production.**
- **The withering away of politics:** once "class distinctions have disappeared... the public power will **lose its political nature.**" Politics, for Marx, is just organised class domination; with no classes, there is nothing left to *rule*.
- **The famous image of unalienated life** (*The German Ideology*): in communist society one can "**hunt in the morning, fish in the afternoon, rear cattle in the evening, criticise after dinner**... without ever becoming hunter, fisherman, herdsman or critic" — i.e. the end of the crippling **division of labour** that fixes each person to one role.

Marx on colonialism: "The Future Results of British Rule in India" (1853)

Core: a sharp application of historical materialism — and a window on its ambivalence. British rule in India is **brutal and hypocritical**, *and yet* (for Marx) the **unconscious tool of progress.**

- **The condemnation:** "The **profound hypocrisy and inherent barbarism of bourgeois civilisation** lies unveiled before our eyes, turning from its home, where it assumes respectable forms, to the colonies, where it goes **naked**." Britain plundered India, confiscated the rajahs' funds, and dragged a people "through blood and dirt, through misery and degradation."
- **The "regeneration" thesis:** nonetheless, by smashing the **stagnant, isolated village communities** (which Marx saw as the base of "Oriental despotism") and laying down **railways, industry and a modern economy**, Britain unwittingly creates the **material preconditions** for India's future transformation. The railway is "the **forerunner of modern industry**," dissolving the caste-based division of labour.
- **The dialectic of colonialism:** destruction **and** creation at once — Britain has "a double mission in India: one destructive, the other regenerating." But the Indians will only "reap the fruits" once either the English working class overthrows its own rulers **or** "the Hindoos... have grown strong enough to throw off the English yoke altogether." → *Illustrates:* historical materialism in action (modes of production, forces vs relations), **and** the uncomfortable idea that **progress advances through catastrophe** — a thesis later critics (and postcolonial theory) attack hard.

Legacy: the spectre of Marx & the welfare state

Core: Marx's prediction of proletarian revolution in the advanced capitalist West largely **did not** happen — but his *spectre* reshaped the 20th century anyway.

- **Reform, not revolution, in the West:** fear of Marx helped drive the rise of the **welfare state** — strong **social-democratic parties**, strong **trade unions**, and the extension of social rights that softened capitalism's edges (the "real" freedoms Marx demanded, delivered by reform).
- **Revolution in the East:** the **Russian Revolution (1917)** and the **Soviet Union** claimed Marx's mantle — though in an agrarian, "backward" country that his stage theory said was *not yet ready* for

socialism.

- **The Zasulich qualification (1881):** in a late letter to the Russian revolutionary **Vera Zasulich**, Marx conceded the **Russian peasant commune (*obshchina*)** might serve as a direct springboard to communism **without** first passing through full capitalism — softening the rigid, unilinear stage theory of the Preface. *(This letter is on the syllabus as an external link; it is not in the selections PDF.)*

Key terms

Term	Meaning
Historical materialism	theory that the **material/economic conditions of production** drive historical change (not ideas)
Base	the **economic foundation** = forces of production + relations of production
Superstructure	law, state, religion, ideology — **derived** from and shaped by the base
Forces of production	the means of producing: tools, technology, labour, raw materials
Relations of production	the **ownership** structure of production → defines **class**
Mode of production	a base-type epoch: Asiatic · ancient/slave · feudal · capitalist · communist
Fetters	when old relations of production **block** developed forces → trigger revolution
Class struggle	the conflict between owning and producing classes; the motor of history
Bourgeoisie / proletariat	owners of the means of production / propertyless wage-labourers
Double liberation	the worker is free to sell labour **and** stripped of the means of production
Labour theory of value	a commodity's value = the labour embodied in it
Surplus value	value the worker produces **beyond** his wage, appropriated by the capitalist
Exploitation	the (hidden) extraction of surplus value under a "free" wage contract
Alienation	the worker's separation from the product, the act of labour, and species-being
Class in-itself / for-itself	a class that merely shares a condition / one that is conscious & organised
Withering away of the state	after classes vanish, "public power loses its political nature"

Exam pointers

- **Explain historical materialism and the base–superstructure model** — and quote the 1859 Preface ("social existence determines consciousness").

- **Run the engine of change:** forces of production outgrow relations of production → **fetters** → **social revolution** (and the two brakes on it).
- **Define exploitation via surplus value** and say *why it is invisible* (a "free" wage contract), vs slavery/serfdom.
- **Distinguish the three senses of alienation**, and the **double liberation** pun on freedom.
- **Why the Manifesto admires capitalism** — revolutionising production, the world market, "all that is solid melts into air" — and why that dynamism **creates its own gravediggers.**
- **Use the India article** as a worked example of historical materialism *and* of its "progress through catastrophe" problem.
- **Formal vs real freedom** — the hinge between liberalism and Marx.

★ Fun facts & memorable details (Module 8: Marx)

> The sticky lines from the Marx module.

- "**All that is solid melts into air.**" The *Manifesto*'s most quoted line — and it's a *compliment* to capitalism's world-dissolving dynamism before it's a critique. Marx was capitalism's most eloquent admirer and its gravedigger at once.
- **Marx predicted globalisation in 1848.** "It must nestle everywhere, settle everywhere... it creates a world after its own image." Written before the telephone, the aeroplane, or the container ship.
- **Capitalism's own gravediggers.** The system's cruelest irony, in Marx's telling: by herding workers into factories to maximise profit, it *organises* the very class that will overthrow it.
- "**Turn Hegel on his head.**" Hegel had history driven by Spirit/ideas descending to earth; Marx flips it — material life first, ideas as its by-product. The whole method in one image.
- **Exploitation you can't see.** The genius (and horror) of the surplus-value idea: unlike the whip of slavery, capitalist exploitation hides inside a contract both sides signed "freely."
- **Hunt in the morning, criticise after dinner.** Marx's one glimpse of communist daily life — not about *abolishing* work but about ending the division of labour that chains you to a single job for life.
- **The spectre built the welfare state.** The deepest irony: Marx's revolution mostly *didn't* come to the West — partly because the *fear* of it pushed elites to grant the pensions, unions and social rights that made capitalism survivable.
